DALAL & BROACHA
STOCK BROKING PVT. LTD.

Equity Research Desk

Maintains Accommodative Stance

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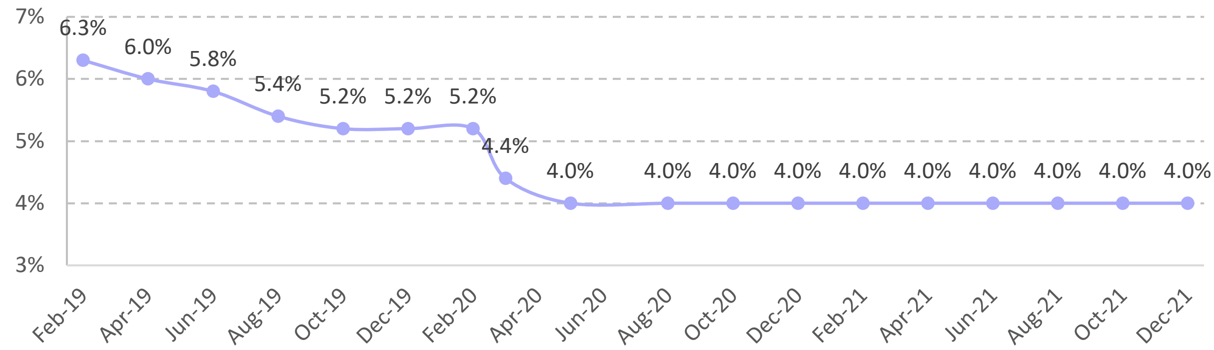
As expected, RBI has maintained a status-quo on policy rates for the ninth time in a row and reiterated that it will maintain the accommodative stance for as long as necessary to sustain growth on a durable basis. With this, the central bank is trying to ensure that the recovery receives continued support in the face of uncertainty from the new Omicron variant. RBI's Monetary Policy Committee (MPC) voted unanimously to keep policy rates unchanged, while it voted 5:1 to maintain an 'accommodative' stance. Meanwhile, the central bank also emphasised about gaining traction in economic activity, supported by the expanding vaccination coverage, slump in fresh COVID-19 cases, and rapid normalisation of mobility. Rural demand is also expected to remain resilient.

RBI keeps repo rate unchanged for fifth time



Policy Tools	Policy Rates	Status
Repo	4.00%	Unchanged
Reverse Repo	3.35%	Unchanged
Marginal Standing Facility (MSF)	4.25%	Unchanged
Bank Rate	4.25%	Unchanged
SLR	18.0%	Unchanged

MAINTAINED GDP GROWTH PROJECTION AT 9.5% FOR FY22

RBI maintains real GDP growth projection at 9.5% in FY22, consisting of 6.6% in Q3, and 6% in Q4 FY22. Real GDP growth for Q1 FY23 is projected at 17.2% and Q2 FY23 at 7.8%. The recovery in domestic economic activity is turning increasingly broad-based, with the expanding vaccination coverage, and rapid normalization of mobility. The government's infrastructure push, the widening of the performance-linked incentive scheme, structural reforms, recovering capacity utilisation and benign liquidity and financial conditions provide conducive conditions for private investment demand. RBI's surveys point to improving business outlook and consumer confidence. On the other hand, volatile commodity prices, persisting global supply disruptions, new mutations of the virus and financial market volatility pose downside risks to the outlook.

INFLATION PROJECTION AT 5.3% FOR FY22

The central bank has maintained its FY22 CPI Inflation projection at 5.3%. CPI inflation is likely to be ~ 5.1% in Q3FY22 and rising to 5.7% in Q4FY22. CPI inflation for H1FY23 is projected at 5.0%. The flare-up in vegetables prices due to heavy rains in October and November is likely to reverse with the winter arrivals. Rabi sowing is progressing well and is set to exceed last year's acreage. Furthermore, Crude prices have seen a significant correction in recent period. Meanwhile, cost-push pressures from high industrial raw material prices, transportation costs, and global logistics and supply chain bottlenecks continue to impinge on core inflation.

Outlook

RBI's decision to maintain an accommodative stance is on expected lines. The low interest regime and adequate liquidity into the system are important to further strengthen the domestic market. Overall, the recovery that had been interrupted by the second wave of the pandemic is regaining traction, but it is not yet strong enough to be self-sustaining and durable. This underscores the vital importance of continued policy support. We expect the central bank to normalize its policy in a calibrated manner in the coming months, by increasing the reverse repo rate by 25 bps in Feb 2022.

Other Major Announcements

- **Infusion of Capital in Overseas Branches & Subsidiaries of banks and Retention/Repatriation/Transfer of Profits by these entities**
  - RBI has decided that banks meeting the regulatory capital requirements may, with the approval of their Boards, infuse capital in their overseas branches and subsidiaries; retain profits in these centres; and repatriate/transfer profits therefrom, without prior approval of RBI, subject to post facto reporting.

This is a welcome step by RBI as it will help to ease overseas operations of Indian banks.

- **External Commercial Borrowing (ECB)/Trade Credit (TC) - Transition from LIBOR to Alternative Reference Rate (ARR of CRR in two phases beginning March 2021)**
  - To take into account differences in credit risk and term premia between LIBOR and the ARRs, for new foreign currency ECBs and TCs, RBI has proposed to revise the all-in-cost ceiling from 450 bps to 500 bps and from 250 bps to 300 bps, respectively, over the ARRs. To enable transition of existing ECBs and TCs linked to LIBOR, it is proposed to revise the all-in-cost ceiling from 450 bps to 550 bps and from 250 bps to 350 bps respectively, over the ARRs.
- **Discussion Paper on Changes in Payment Systems**
  - RBI has proposed to issue a discussion paper which will cover all aspects related to charges involved in various channels of digital payments such as credit cards, debit cards, prepaid payment instruments (cards and wallets), UPI, etc. The paper will also seek feedback on issues 3 related to convenience fee, surcharging, etc., and the measures required to make digital transactions affordable to users and economically remunerative to the providers. The paper will be released in a month's time.

Digital payment is the way to go and any reduction or elimination of convenience fee, surcharge etc will be beneficiary for users.

- **Simplification of Process Flow for Small Value Transactions over UPI and Increase in UPI Transaction Limit for Specified Categories**
  - Transaction data analysis shows that 50% transactions through UPI were below Rs 200. These low value transactions, however, utilise significant system capacity and resources, at times leading to customer inconvenience due to transaction failures because of issues related to connectivity. Therefore RBI has proposed to offer a simpler process flow by enabling small value transactions through an "On-device" wallet in UPI app which will conserve banks' system resources, without any change in the transaction experience for the user
  - To further encourage the use of UPI by retail investors, RBI has proposed to enhance the transaction limit for payments through UPI for Retail Direct Scheme and IPO applications from Rs 2 lakh to Rs 5 lakh.

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